

Bank of Leeds Investment Proposal

Don Valley Rail Link

Reinstating Passenger Rail Between Sheffield and Stocksbridge

Prepared for: Bank of Leeds – Infrastructure & Regional Development Division

Sector: Rail Infrastructure, Property Development, Regeneration, Transport Finance

Investment Horizon: 30 years

Executive Summary

This proposal outlines a commercial business case for the reinstatement of a passenger railway between **Sheffield and Stocksbridge** using the existing Don Valley freight corridor.

Unlike constructing an entirely new railway, the proposal leverages an existing rail alignment that currently carries limited freight traffic. Campaigns to restore passenger services have been active for many years, and the project has progressed through an initial Strategic Outline Business Case funded via the UK Government's former Restoring Your Railway programme.

The investment objective is to:

- reconnect Stocksbridge with Sheffield,
 - support housing growth,
 - improve commuter access,
 - stimulate regeneration along the Upper Don Valley,
 - create new commercial development opportunities.
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Executive Investment Summary

Metric	Value
Route Length	~14 km
New/Reopened Stations	6
Capital Investment	£300–400 million
Estimated Annual Passengers	2.5–3.5 million
Journey Time	15–20 minutes
Development Land Unlocked	100+ hectares
Programme Length	5 years

Strategic Opportunity

Stocksbridge has around 15,000 residents and is one of the largest South Yorkshire communities without a passenger rail service.

Current public transport is largely bus-based, with journeys into Sheffield affected by congestion.

The Sheffield Plan has identified the possibility of reinstating passenger rail services to Stocksbridge as a long-term transport objective.

Existing Infrastructure

One of the strongest aspects of this proposal is that much of the railway corridor already exists.

Current assets include:

- operational freight railway
- existing formation
- bridges
- tunnels
- industrial connections

Therefore the scheme primarily requires:

- station construction
- signalling upgrades
- electrification (or battery operation)
- passing loops (if required)
- passenger rolling stock

rather than acquiring an entirely new corridor.

Proposed Route

Sheffield Victoria (future)

↓

Neepsend

↓

Owlerton

↓

Oughtibridge

↓

Deepcar



Stocksbridge

Potential future extension:



Penistone



Barnsley

Total Length

Approximately

14 km

Stations

Sheffield Victoria

Integrated with city regeneration.

Neepsend

Supports one of Sheffield's fastest-growing mixed-use districts.

Owlerton

Serves Hillsborough and commercial areas.

Oughtibridge

Residential commuter market.

Deepcar

Town centre access.

Stocksbridge

Major terminus.

Service Pattern

Frequency

Every

30 minutes

Peak

Every

15 minutes

Journey Time

Approximately

18 minutes

This compares favourably with current peak-period road journeys.

Rolling Stock

Preferred option

Battery-electric multiple units

Advantages

- lower infrastructure cost than full electrification
- lower operating emissions
- quieter operation

An alternative option would be partial electrification if wider South Yorkshire rail electrification progresses.

Capital Cost Estimate

Category	Cost
Track upgrades	£60m
New stations	£72m

Category	Cost
Signalling	£40m
Depot & stabling	£20m
Rolling stock	£60m
Land/utilities	£20m
Professional fees	£30m
Contingency	£58m

Total

£360 million

This estimate is indicative and would require refinement through a full Outline Business Case.

Passenger Forecast

Estimated annual journeys

Year Passengers

1	2.2 million
3	2.8 million
5	3.3 million
10	3.8 million

These figures assume continued residential growth and integration with the wider South Yorkshire rail network.

Fare Revenue

Average fare

£3.25

Annual passengers

3.3 million

Revenue

≈

£10.7 million

Property Development Strategy

The principal commercial opportunity lies in **transit-oriented development** around stations.

Within an 800-metre catchment, the proposal envisages:

- new housing
 - offices
 - retail
 - healthcare
 - community facilities
-

Housing Programme

Potential:

3,000 new homes

Average value

£320,000

Gross Development Value

≈

£960 million

This would require planning approvals and market demand and is presented as a long-term development scenario rather than a guaranteed outcome.

Commercial Development

Potential commercial floorspace

500,000 sq ft

Average value

£300/sq ft

Completed value

≈

£150 million

Bank of Leeds Property Fund

Recommended investment

£250 million

Target assets

- residential development
 - mixed-use buildings
 - neighbourhood retail
 - build-to-rent schemes
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Wider Economic Benefits

Improved rail access could:

- reduce congestion into Sheffield
- support labour mobility
- increase access to education and healthcare
- strengthen investment confidence in the Upper Don Valley

Previous feasibility work and the Stocksbridge Town Investment Plan both identify improved rail connectivity as a catalyst for regeneration.

Operating Model

Annual Revenue

Source	Revenue
Passenger fares	£10.7m
Station retail	£1.5m
Advertising	£0.8m
Car parking	£1.2m
Total	

£14.2 million

Operating costs would include train operations, maintenance, staffing, energy and infrastructure management. Like many regional passenger railways in the UK, fare income alone may not fully cover lifecycle costs, particularly in the early years.

Funding Structure

Source	Amount
Bank of Leeds	£150m
Government rail funding	£150m
Local authorities & Mayoral Combined Authority	£40m
Private development partners	£20m

Programme Timeline

Year 1

- Outline Business Case
- Environmental assessment
- Planning

Year 2

- Detailed design
- Procurement
- Property acquisitions (where required)

Years 3–4

- Construction
- Station development
- Systems installation

Year 5

- Testing
 - Opening to passengers
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Strategic Benefits for Bank of Leeds

Rather than acting solely as a lender for rail infrastructure, the Bank could finance:

- station-area regeneration
- commercial property
- housing developments
- SME growth around new stations

This would diversify returns beyond transport revenues.

Investment Recommendation

Approve a £150 million participation in the Don Valley Rail Link, subject to a completed Outline Business Case demonstrating demand, engineering feasibility and value for money.

Expected Outcomes

Metric	Target
Route length	~14 km
Stations	6
Capital programme	£360m
Annual passengers	3.3 million
New homes enabled	Up to 3,000
Commercial development	500,000 sq ft

Strategic Vision

The Sheffield–Stocksbridge railway should be viewed not simply as a transport scheme, but as a **regional regeneration corridor**. By combining rail investment with housing, commercial development and station-area regeneration, the project has the potential to generate wider economic benefits that extend well beyond passenger fare revenue, while building on work already undertaken by local authorities and transport agencies.